

2.1 Subcontractor Agreement Template

A written agreement between the owner-builder and each trade contractor — scope, price, payment, insurance, warranty and dispute terms, executed before any work begins.

Template for general reference — have your attorney review before use. Not legal advice.

ARTICLE 1 — PROJECT INFORMATION

Project Address: _____

Legal Description: _____

Owner / General Contractor

Name: _____

Address: _____

City / State / ZIP: _____ Phone: _____

Email: _____

Subcontractor

Company Name: _____

License #: _____ State: _____

Contact Person: _____

Address: _____

City / State / ZIP: _____ Phone: _____

Email: _____

Project Description

Key Dates

Agreement Date: _____ Work Start Date: _____

Substantial Completion Date: _____ Final Completion Date: _____

Initials (Owner / Subcontractor): _____ / _____

ARTICLE 2 — SCOPE OF WORK**Detailed Description of Work to be Performed**

Specifications and Standards

- ☐ Work shall comply with all applicable building codes and regulations
- ☐ Work shall comply with approved plans dated: _____
- ☐ Work shall meet industry standards for: _____
- ☐ Other specifications: _____

Materials**Materials to be provided by Subcontractor**

Materials to be provided by Owner

Exclusions — work NOT included in this agreement

Initials (Owner / Subcontractor): _____ / _____

ARTICLE 3 — PAYMENT TERMS

Total Contract Amount (\$): _____

Payment Schedule

Draw #	Milestone / Completion Point	Amount (\$)
1		
2		
3		
4		
5		

Retention (%): _____ Retention Amount (\$): _____

Payment due within _____ days of invoice submission

Final Payment Conditions

Final payment shall be made upon:

☐

Completion of all work per specifications

- ☐ Passing final inspection
- ☐ Receipt of unconditional lien waiver from Subcontractor
- ☐ Receipt of lien waivers from all material suppliers
- ☐ Submission of warranties and operating manuals (if applicable)
- ☐ Correction of any punch list items

Change Orders

All changes to the scope of work must be approved in writing via Change Order Form before work begins. No additional payment will be made for work performed without a signed change order.

Change orders must include:

- Detailed description of change
- Cost impact (materials and labor)
- Schedule impact
- Signatures of both parties

Initials (Owner / Subcontractor): _____ / _____

ARTICLE 4 — LEGAL REQUIREMENTS AND RESPONSIBILITIES

Insurance Requirements

Subcontractor shall maintain the following insurance coverage throughout the duration of this agreement:

- ☐ General Liability Insurance: Minimum \$ _____ per occurrence
- ☐ Workers' Compensation Insurance (if required by state law)
- ☐ Vehicle Insurance: Minimum \$ _____ per occurrence

Subcontractor shall provide Certificate of Insurance to Owner before work begins.

License Verification

- ☐ Subcontractor license verified with state licensing board
- ☐ License in good standing as of: _____

Lien Waivers

Subcontractor agrees to provide:

- Conditional lien waiver with each progress payment request
- Unconditional lien waiver upon receipt of each progress payment
- Final unconditional lien waiver upon receipt of final payment
- Lien waivers from all material suppliers and sub-subcontractors

Warranty

Subcontractor warrants that all work shall be:

- Performed in a workmanlike manner
- Free from defects in materials and workmanship
- In compliance with all applicable codes and regulations
- Performed by qualified personnel

Warranty Period: _____ from date of substantial completion

Subcontractor shall promptly correct any defects in materials or workmanship that appear during the warranty period at no additional cost to Owner.

Permits and Inspections

Permits obtained by (check one): ☐ Owner ☐ Subcontractor

Subcontractor shall notify Owner at least 48 hours before inspections are required and shall coordinate with inspector to schedule inspections. Subcontractor shall correct any work that fails inspection at no additional cost to Owner.

Initials (Owner / Subcontractor): _____ / _____

ARTICLE 5 — DISPUTE RESOLUTION

Any disputes arising under this agreement shall be resolved as follows:

1. **Direct Communication:** Parties shall first attempt to resolve disputes through direct communication within 7 days of dispute arising.
2. **Written Notice:** If dispute is not resolved, the aggrieved party shall provide written notice detailing the dispute within 14 days.
3. **Meeting:** Parties shall meet in person within 14 days of written notice to attempt resolution.
4. **Mediation:** If meeting does not resolve dispute, parties agree to participate in mediation with a mutually agreed upon mediator. Cost of mediation shall be split equally.
5. **Arbitration / Litigation:** If mediation fails, parties may pursue the option selected below.

If mediation fails (check one): ☐ Binding arbitration ☐ Litigation

Litigation venue — County: _____ State: _____

Termination

By Owner: Owner may terminate this agreement for cause (failure to perform, safety violations, code violations) with 7 days written notice. Owner may terminate without cause with 14 days written notice.

By Subcontractor: Subcontractor may terminate for non-payment after providing 14 days written notice and opportunity to cure.

Upon termination, Subcontractor shall be paid for all work completed to date, less any costs incurred by Owner to correct deficiencies.

Indemnification

Subcontractor agrees to indemnify and hold harmless Owner from any claims, damages, losses, or expenses (including attorney fees) arising from:

- Subcontractor's negligent acts or omissions
- Injury to persons or property caused by Subcontractor or its employees
- Failure to comply with applicable laws and regulations
- Claims by Subcontractor's employees, suppliers, or sub-subcontractors

Initials (Owner / Subcontractor): _____ / _____

ARTICLE 6 — ADDITIONAL TERMS AND CONDITIONS

Site Access and Scheduling

Subcontractor shall coordinate work schedule with Owner and other trades.

Site access hours: _____

Cleanup

Subcontractor shall maintain a clean and safe work area and remove all debris and materials at the end of each workday. Final cleanup shall include removal of all tools, equipment, and materials.

Safety

Subcontractor shall comply with all OSHA regulations and maintain a safe work environment. Subcontractor is responsible for safety of its employees and shall provide all required personal protective equipment.

Damage to Property

Subcontractor shall be responsible for any damage to existing structures, fixtures, or property caused by Subcontractor or its employees.

Assignment

This agreement may not be assigned without written consent of both parties.

Entire Agreement

This agreement constitutes the entire agreement between parties and supersedes all prior negotiations, representations, or agreements. This agreement may only be modified by written amendment signed by both parties.

Governing Law

This agreement shall be governed by the laws of the State of _____

Initials (Owner / Subcontractor): _____ / _____

SIGNATURES

By signing below, parties acknowledge they have read, understood, and agree to all terms and conditions of this agreement.

Owner / General Contractor

Signature: _____ Date: _____

Print Name: _____

Subcontractor

Signature: _____ Date: _____

Print Name: _____ Title: _____

Witness (optional)

Signature: _____ Date: _____

Print Name: _____